Gulf: War shifts financial clout to UAE, Qatar

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War accelerates GCC financial clout shift to UAE and Qatar

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The war in Iran is accelerating pre-war shifts in Gulf Cooperation Council (GCC) financial power toward the UAE and Qatar, which in our basecase will resume accumulating assets once energy flows normalize no later than the end of 2027, while Saudi Arabia continues to borrow.

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Riyadh will prioritize defense, the domestic economy, strategic sectors, social welfare, and the riyal-dollar peg over its US investment pledges and financial support for allies, as a fall in oil prices toward pre-war levels would expose fiscal vulnerabilities and force the authorities into difficult trade-offs.

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The UAE and Qatar can best afford their US and regional investment commitments, but their incentive to align with President Donald Trump will fade as he becomes a lame duck and a political liability, and their investments will increasingly follow Islamic and Abrahamic coalition lines, as well as commercial returns.

The war is accelerating the shift in financial power toward the UAE and Qatar. Saudi Arabia, the UAE, and Qatar have long sought to buy regional influence through central bank deposits, swap lines, investment pledges, and deferred oil payments. That power depends on current account surpluses to accumulate reserves, ample liquid assets, and public finances strong enough to support external spending.

The war is eroding Riyadh's financial clout on all three fronts, though the kingdom will continue to wield influence because of its size and strategic depth, custody of Islam's two holiest sites, and strong regional alliances. For all three countries, the IMF has reduced its estimates of fiscal balances for 2026-2030 by about 1 percentage point of GDP each year. Even with these reductions, the UAE remains in surplus, and Qatar returns to surplus from 2028. By contrast, Saudi deficits widen to 4.7% of GDP each year from 3.6% in the IMF's pre-war forecast.

In our basecase, the UAE, Qatar, and Kuwait will resume adding to financial assets worth several times their GDP once exports normalize no later than the end of 2027, in line with IMF projections (see table

above). Saudi assets are much smaller relative to GDP and largely invested at home (see chart below). Doha, though, often coordinates closely with Riyadh in cash deployments. That timeline looks less certain as the US-Iran standoff around Hormuz and Saudi-Houthi fighting in the Red Sea drag on.

A longer disruption would hit Kuwait and Qatar hardest, as their exports cannot bypass Hormuz. Qatar's LNG exports are currently at 30%-50% of pre-war levels; Iranian strikes knocked out about 17% of its export capacity, and a slower recovery would delay its return to fiscal surplus. In the UAE, Dubai's trade and finance hub will carry a lasting risk premium, leaving the emirate more reliant on Abu Dhabi's oil revenue.

The UAE and Qatar are best placed to deliver on their US investment pledges. Nonetheless, their incentives to follow through will diminish as Trump becomes a lame duck. The headline figures largely bundle existing plans and purchases (see table below). The incoming Democratic Congress will probe the Trump family's business ventures and deals, including eased export controls on advanced semiconductors to the UAE (see: Democratic investigations likely to target defense, tech, and financial firms , 5 November 2026). Reputational risks will weigh more on dealmaking as US partners, Abu Dhabi, and Doha hedge ahead of the 2028 election.

Riyadh faces a growing fiscal squeeze in the next five years, forcing it to prioritize its own needs. In peacetime, the kingdom needs oil prices to be about double those of the UAE and Qatar to balance its budget, and it is running a deficit this year, even with oil expected to average $96 per barrel.

But if intra-GCC competition for market share, rising supply in the Americas, and permanent demand losses in Asia and Europe help push oil back to its pre-war trend of $55 from 2028, as in our "Durable de-escalation" scenario, debt would double to about 70% of GDP by 2031 (see first table above and chart below). The authorities could borrow more but would first cut back on deposits for allies, giga-projects, and the Public Investment Fund's foreign deployments, including in the US (see: Gulf states likely to redirect sovereign wealth funds to domestic priorities , 17 April 2026).

Currency markets could test the Saudi riyal-dollar peg in the medium term if oil prices revert to pre-war levels. The riyal's forward premium has jumped since late September but remains well below its start-of-year level, as Aramco's expected revenues have risen with exports back at pre-war levels and prices higher (see chart below).

Gulf money will increasingly follow political alignment, but on commercial terms. Within the region, financial backing will more closely track the competing Saudi-backed Islamic and UAE-backed Abrahamic coalitions (see: Competing coalitions will reconfigure the MENA region in 2026 , 16 January 2026). A fiscally constrained Riyadh will emphasize defense-sector purchases and investments in Islamabad and Ankara. Doha will increasingly serve as the Islamic coalition's financial backer where the kingdom falls short.

When the UAE declined to roll over $3.5 billion of deposits in April after Islamabad's defense pact with Riyadh, Saudi Arabia replaced $3 billion within a week, and Qatar pledged $2 billion. Doha also maintains a $15 billion swap line with Turkey's central bank, three times the UAE's (see chart below). Egypt draws from all three, and Cairo's military backing of the kingdom helped secure renewal of a $5.3

billion Saudi deposit (see: Defending Saudi Arabia preserves geopolitical alignment and financial ties , 20 October 2026).

Remittances also remain a source of leverage. Saudi Arabia accounts for the lion's share of Egypt’s remittances, and Egyptian workers in the UAE have reported visa cancellations since the war began. Bilateral financing terms will tighten: The UAE’s $35 billion Ras El-Hekma deal, paid upfront in 2024, gave Cairo room to push back against Abu Dhabi in Sudan and Somalia. As a result, future packages will likely be disbursed in stages and tied to commercially viable projects, as lower post-war oil prices make all three more selective.

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